COURSE

Pearson BTEC Level 3 National Extended Diploma in Business (601/7160/1)

External environment

Unit 1: Exploring Business · C1 External environment; D2 Price elasticity of demand

Revision for Unit 1: Exploring Business: each firm works it out on its own deals.

Class	Topic
Pearson BTEC Level 3 National in Business	**External environment**

THE LESSON

Setup					3 min
Round 1					Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions	**Deals**	TASK 1 **Passing on the rise**	TASK 2 **Pound and your firm**		
Round 2					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions	**Deals**	TASK 3 **Euro cars in pounds**	TASK 4 **Euro sale in pounds**	**B2B deal**	
Round 3					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions	**Deals**	TASK 5 **Fixed or variable**	TASK 6 **Rates: two effects**	**B2B deal**	
Final questions					3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

The pound falls, so your imported cars cost more. Your buyers are very price sensitive.

If you pass on the full rise, what is most likely?

PICK ONE

- ○ Revenue rises with the higher price
- ✔ **Sales fall a lot and revenue falls**
- ○ Sales stay the same
- ○ Your costs fall in pounds

Why: With elastic demand, a higher price cuts sales by more, so revenue falls.

Task 2

ROUND 1

You import cars from Europe and sell some to Irish dealers. The pound rises.

Which two effects are most likely?

PICK TWO

- ✔ **Imports cost you less**
- ○ Imports cost you more
- ○ Irish dealers buy more from you
- ✔ **Your cars cost more in Ireland**
- ○ Your costs do not change

Why: A strong pound: imports cheaper, exports dearer.

Task 3

ROUND 2

Three cars on offer from European dealers, priced in euros.

Order by cost in pounds, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **€23,100 at €1.05 to the £**
2. **€30,000 at €1.25 to the £**
3. **€27,500 at €1.10 to the £**

Why: £22,000, £24,000 and £25,000.

Task 4

ROUND 2

You sell used cars to an Irish dealer, in euros.

Fall in what the deal earns you, in £?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

The deal, in euros	**10000 €**
£1 buys, before	**1 rate**
£1 buys, now	**1 rate**

METHOD

Fall = euros ÷ old rate − euros ÷ new rate

€10,000 ÷ 1.00 − €10,000 ÷ 1.25 = £2,000

Why: A stronger pound earns an exporter fewer pounds for the same euros.

Task 5

ROUND 3

Your £100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

Which costs less over the year, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Fix at 7%**
- ○ Stay on the variable rate

Why: Variable: £3,000 + £4,500 = £7,500 for the year; fixed at 7%: £7,000.

Task 6

ROUND 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

Which pair of effects is most likely?

PICK ONE

- ○ Fewer buyers, cheaper stock loans
- ✔ **Fewer buyers, dearer stock loans**
- ○ More buyers, cheaper stock loans
- ○ More buyers, dearer stock loans

Why: Dearer credit puts buyers off and raises the interest on your stock loan.

Final questions

6
questions for each pupil

112
Level 3 Business questions

5
of them on external environment

The game draws 6 of the 112 Level 3 questions; these 5 are about external environment.

1 A UK importer buys in euros and sells in pounds. Sterling depreciates against the euro; prices are unchanged. What is the immediate likely effect?
Each car costs more in pounds, cutting margin.

2 A UK importer must pay €240,000. The rate moves from £0.84 per euro to £0.89 per euro before payment. How much extra sterling is required?
£12,000.

3 A UK importer expects to pay €400,000. Each £0.01 rise in the sterling cost of one euro changes its cost by how much?
£4,000.

4 A dealer sells most new cars on finance and most used cars for cash. Interest rates rise. What is the most likely effect?
New car sales fall more: finance costs rise; used are cash.

5 The UK economy enters a recession. Which dealer is likely to be hit hardest?
One selling new luxury cars, mostly on finance.